

Published on: March 28th, 2026



Market Briefs Pro

Read Less News

Good morning, Pro Briefers!

For decades, global trade ran on a simple highway: Factories in China, consumers in America, giant ships in between.

But issues like tariffs, geopolitics, and lessons from the pandemic have caused companies to rethink the entire global trade system.

And it all starts with ships.

That's where we've identified a Broad Market Shift:

Global supply chains are transforming into shorter, regional networks - and the companies that own and lease medium-size cargo ships are positioned to profit.

Here's why investors should pay attention: Companies are spreading production out - to Mexico, Vietnam, India, and Eastern Europe.

- Industry analysts forecast that nearly 40% of Asia-Pacific freight could shift toward nearby regional markets by 2030.

Mexico has already become the top source of imports to the U.S.

Shipping activity that connects intra-Latin American routes like:

- Mexico
- Colombia
- Peru
- Chile

And others, jumped significantly in 2025.

All of that regional trade runs on mid-size ships, not the enormous mega-vessels you'd typically see.

We're talking about vessels in the 3,000 to 11,000 TEU range.

- TEU stands for "twenty-foot equivalent unit" - it's how the shipping industry measures cargo capacity.

What's the point? Shorter routes = more regional trade.

For companies, it creates a more manageable map. Trade happens in smaller pockets of the world, not across entire continents at once.

Plus, shorter routes actually mean more ships in the water, not less.

Here's an example: If a ship takes two weeks to complete one voyage, it can only run a handful of round trips per year.

Cut that same voyage down to a few days, and suddenly that route needs four or five times as many ships to carry the same volume of cargo.

The mega-ships you think of for global trade physically can't serve most of these regional ports.

They're too big, which means the companies that own mid-size fleets are now in a position to profit as global trade shifts into a new era.

Let's discuss some of those potential investment opportunities next.

ANALYST TAKE

Tickers we're tracking:

Income play: GSL

Growth play: DAC

INCOME PLAY

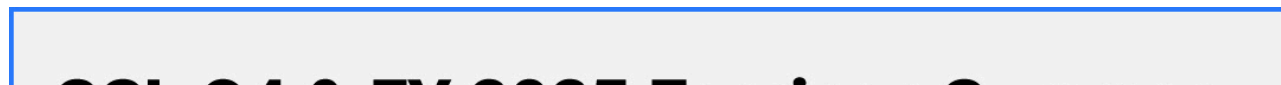
The Ships Some Companies Want

For companies rethinking global trade, there's a problem: The ships themselves.

Many companies do not have the mid-size ships in the water yet - and creating them takes millions of dollars and sometimes years.

So, companies are turning to other businesses that already have these ships available for use.

One of the global leaders of this niche is Global Ship Lease (GSL).



GSL Q4 & FY 2025 Earnings Summary

	4Q 2025	FY 2025
Revenue	\$190.9 million	\$766.5 million
Net Income	\$100.2 million	\$406.9 million
Adjusted EBITDA	\$124.7 million	\$521.4 million
Normalized Net Income	\$83.2 million	\$366.4 million
EPS	\$2.79	\$11.40
Normalized EPS	\$2.32	\$10.26

 Market Briefs Pro

Data [via](#) *GSL's Investor Presentation*

Breakdown. Global Ship Lease doesn't move the cargo itself - it leases the ships to the world's biggest shipping lines, companies like Maersk, MSC, and CMA CGM.

As of March 2026, Global Ship Lease owns 71 mid-size cargo vessels.

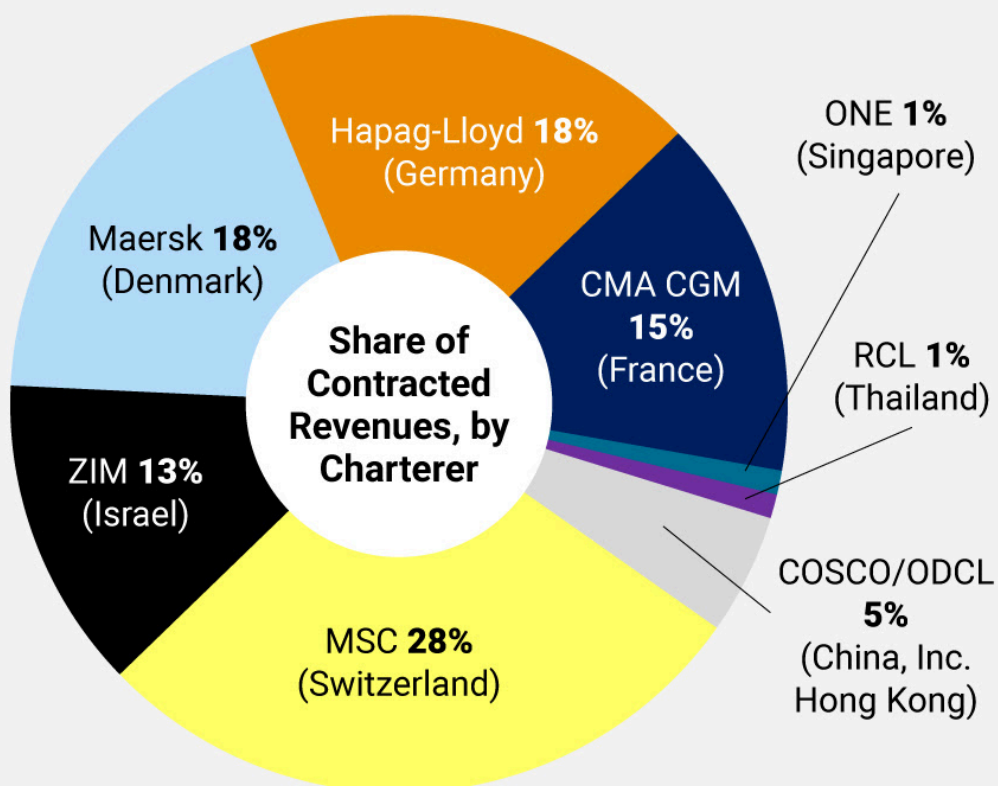
Here's how it works: GSL owns the asset, signs a multi-year deal at a fixed daily rate, and collects income while the tenant handles all the operating expenses - fuel, tolls, port

costs.

This insulates GSL from things like rising fuel costs or route disruptions.

As long as demand for shipping stays steady, and companies need its mid-sized ships, GSL benefits.

GSL Revenue by Charterer



\$2.24
billion

Contracted
revenues @
December 31,
2025

2.7

Years of average
remaining
contract cover

TEU-weighted
cover @
December 31,
2025

52

Charters added
FY 2025 & 2M
2026

Including charter
extension options
exercised

\$1.26

billion additional
contracted
revenues

Added in FY 2025
& 2M 2026

That's helped keep GSL's revenue growing steadily over the last year.

In 2025, GSL collected \$766.5 million in total revenue, up nearly 8% from the year before.

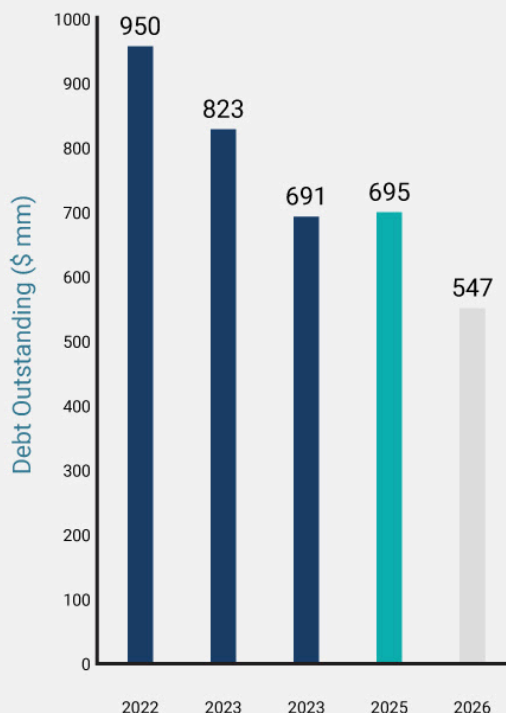
- Net income rose 18.3% to \$406.9 million.

That works out to \$11.40 in earnings per share.

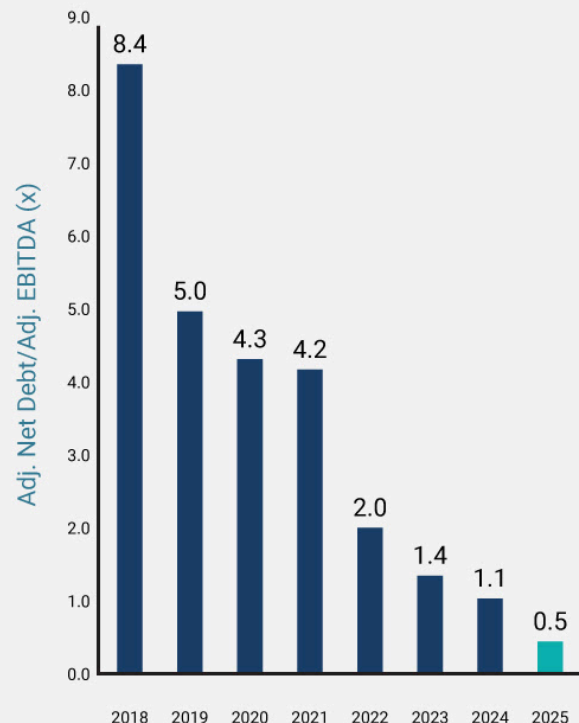
The company's stock price? Around \$39. This means investors are paying around 3.4 dollars for every one dollar GSL produces.

GSL 2025 Financials & Balance Sheet

**De-Risking of Balance Sheet
Continues**



**Reduced Financial Leverage
Increases Resilience & Flexibility**



Aggressive
amortization schedule
to continue to de-risk
balance sheet

Credit ratings of Ba2
/ BB+ / BB+
underscore balance
sheet strength

Financial leverage
(Adjusted Net Debt /
Adjusted EBITDA)
continues to strengthen

Data [via](#) *GSL's Investor Presentation*

The S&P 500, for example - typically trades somewhere between 20 and 22 times earnings.

So GSL trades at a fraction of that.

The bottom line: There is a valuation gap between what the market is paying for shares of GSL and the importance of its business.

That gap may mean that GSL is potentially undervalued, creating a unique opportunity for investors.

In addition, nearly all of 2026's revenue for GSL is already signed and contracted - locked in by binding agreements with some of the largest shipping companies on earth.

- More than 80% of 2027 is already spoken for as well.
- The company holds \$2.24 billion worth of signed contracts.

Investors don't have to guess what its revenue will be - it has real agreements that legally have to be paid.

GSL Contract & Fleet Stats

P&L

Revenue: \$766.5 million, up from \$711.1 million for 2024

Net income: \$406.9 million, up from \$344.1 million for 2024

Balance sheet

Gross debt: \$694.7 million, up from \$691.1 million at December 31, 2024

Cash: \$637.1 million. \$164.1 million is restricted, of which \$146.4 million is advanced receipt of charter hire. Remaining \$473.0 million covers minimum liquidity.

Shareholder Returns

Supplemental dividend introduced in 2Q24, increasing quarterly dividend by 20% to \$0.45 per Common Share (1.80 annualized)

Supplemental dividend upsized twice, to bring overall quarterly dividend to

Adjusted EBITDA: \$521.4 million, up from \$494.7 million for 2024 Normalized Net Income: \$366.4 million, up from \$352.7 million for 2024	financial covenants, working capital, and dry powder for fleet renewal \$85 million re-fi pushes weighted average debt maturity to 4.5 years & cost to 4.49% \$46.2 million gain from sale of older ships 0.64% SOFR interest rate caps	\$0.625 per Common Share (2.50 annualized), starting with 3Q25 dividend paid in December 2025 \$33.0 million remaining under opportunistic share buy-back authorization Ongoing de-levering continues to build equity value
---	---	--

 Market Briefs Pro

Data [via](#) *GSL's Investor Presentation*

Global Ship Lease has also managed to keep its debt levels low, which can be tough for a company building new assets to meet demand.

It currently has cash on hand of around \$562 million giving it more money to invest back into its business, increase its dividend, or acquire other ship leasing companies.

- GSL has increased its dividend for two straight years, showing its prioritizing shareholder value.

Increasing its capacity allows it to serve more companies - and positions it as a solution for the world's changing shipping needs for years to come.

Global Ship Lease, Inc. (GSL)

1 Year Price

\$38.37

(65.53%)



 Briefs Terminal

Data [via](#) Briefs Terminal

GROWTH PLAY

A Different Profit Route

Danaos Corporation (DAC) follows a very similar model but has made a different bet on the future.

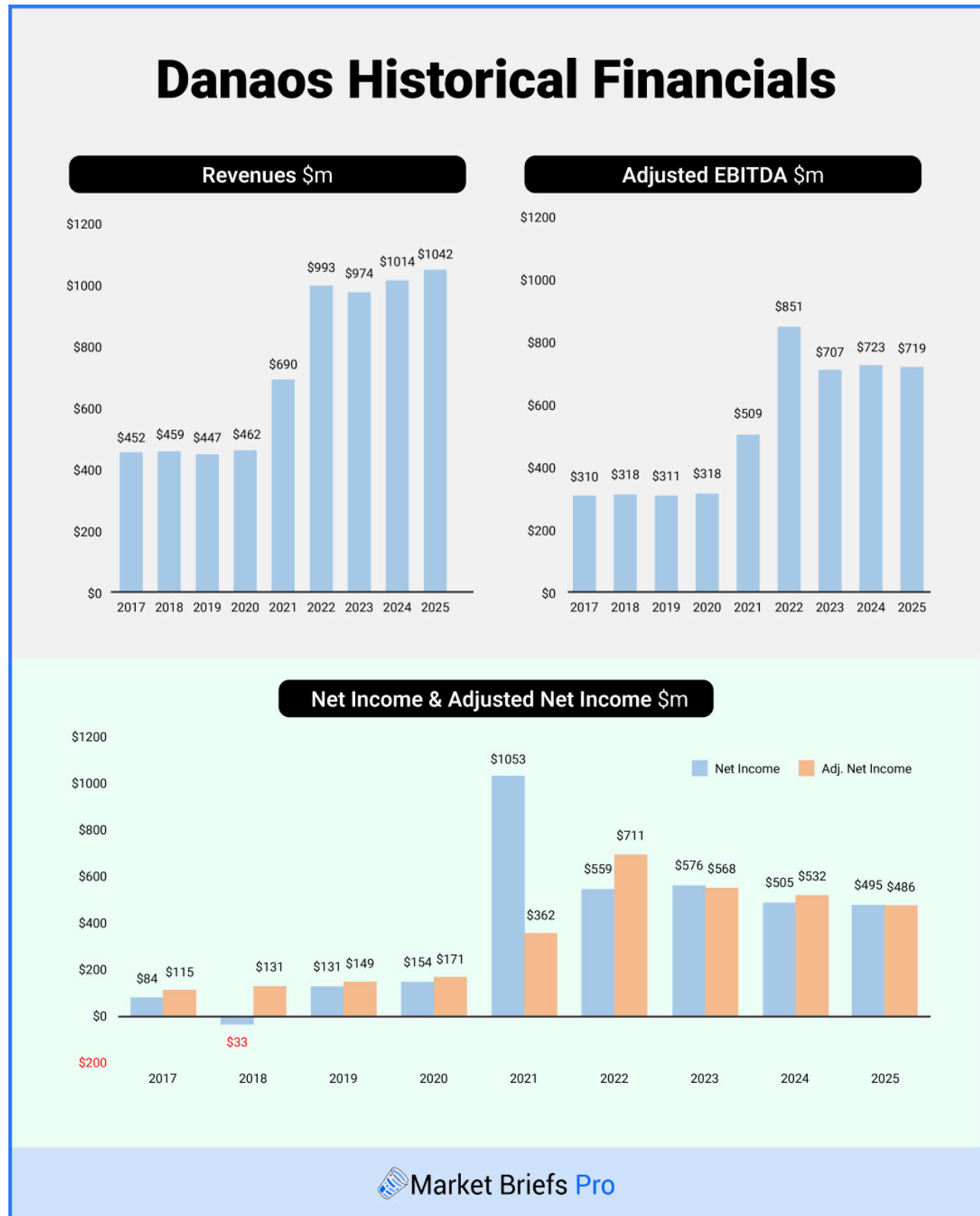
The company currently runs 75 containerships and has \$3.6 billion in shipping contracts signed.

- That's the largest contract amount among all mid-size container ship companies.
- Around 95% of its 2026 income is already under multi-year agreements.

So how is this opportunity different from GSI?

So how is this opportunity different from GSL?

Where Danaos diverges from GSL is what it's doing with its profits.



Data via Danaos' Investor Presentation

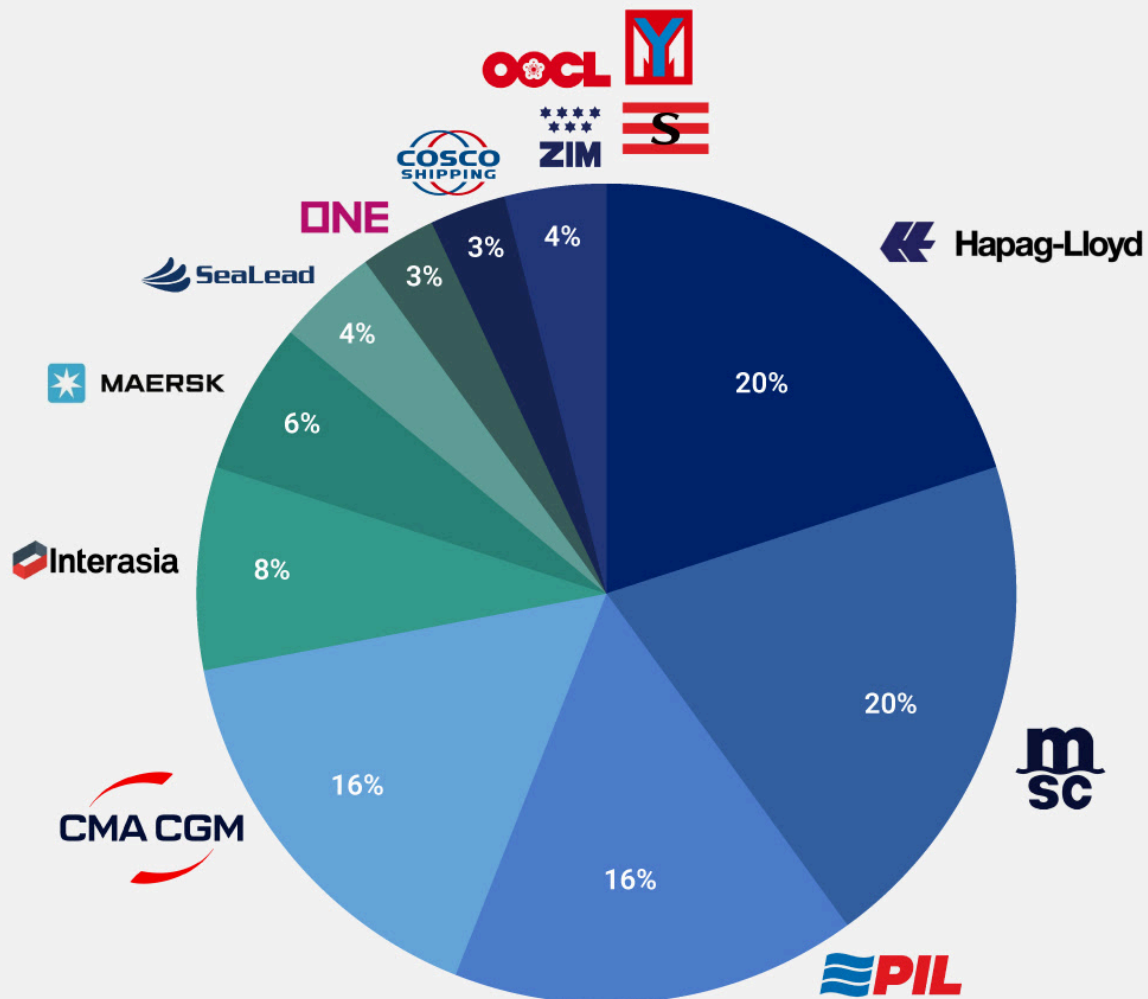
Rather than increasing dividends today, Danaos has been ordering new ships.

- The company has 27 additional vessels under construction, scheduled to arrive between April 2026 and 2028.

The timing here is key - it's adding more capacity right as regional trade demand is expected to grow.

And these new ships are built for the future, too.

Danaos Charter Backlog by Operator



**Charter backlog of
\$4.3 billion through to
2038**

**Average charter
duration of 4.3 years**
(weighted by aggregate
contracted charter hire)

**Fleet utilization for Q4
2025 99.3%**

These new ships from Danaos are expected to be more fuel-efficient - that matters as the rest of the world is tightening its environmental regulations on trade ships.

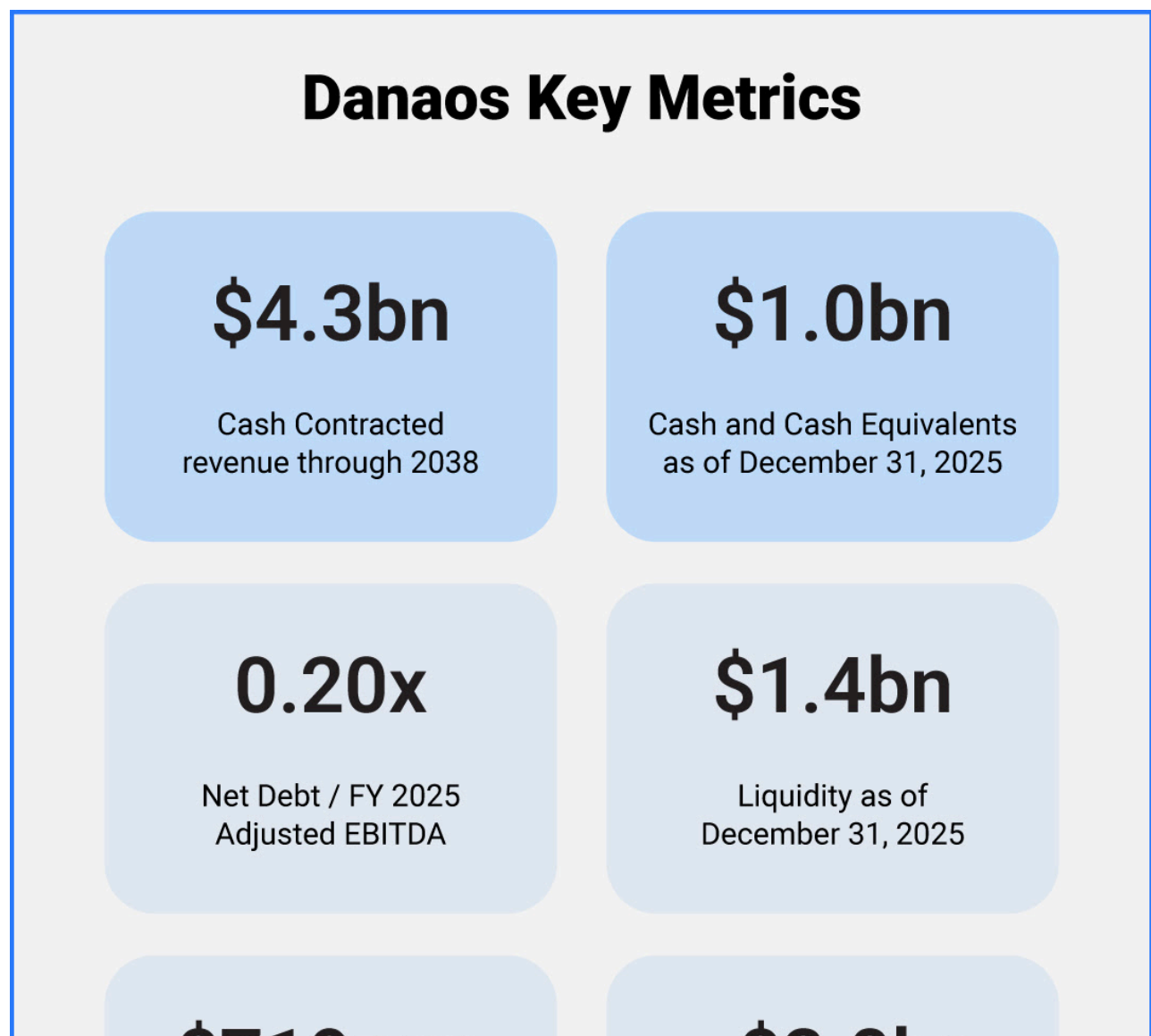
- Using fuel better also saves the companies that use these ships money.

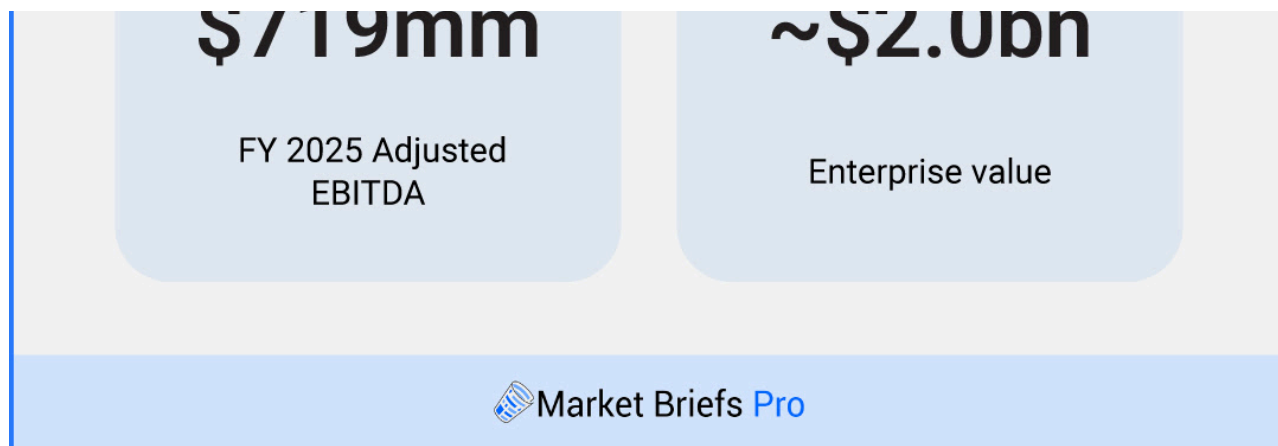
In addition, Danaos has also spent \$213.6 million to date buying back its own stock.

That could mean Danaos thinks its shares are priced below what the business is actually worth.

- It's also a method of increasing shareholder value - as fewer shares on the open market increases how much the company earns per share.

Similar to GSL, investors are paying around 3.7 dollars per every dollar it earns - this could mean it is currently undervalued by the market.





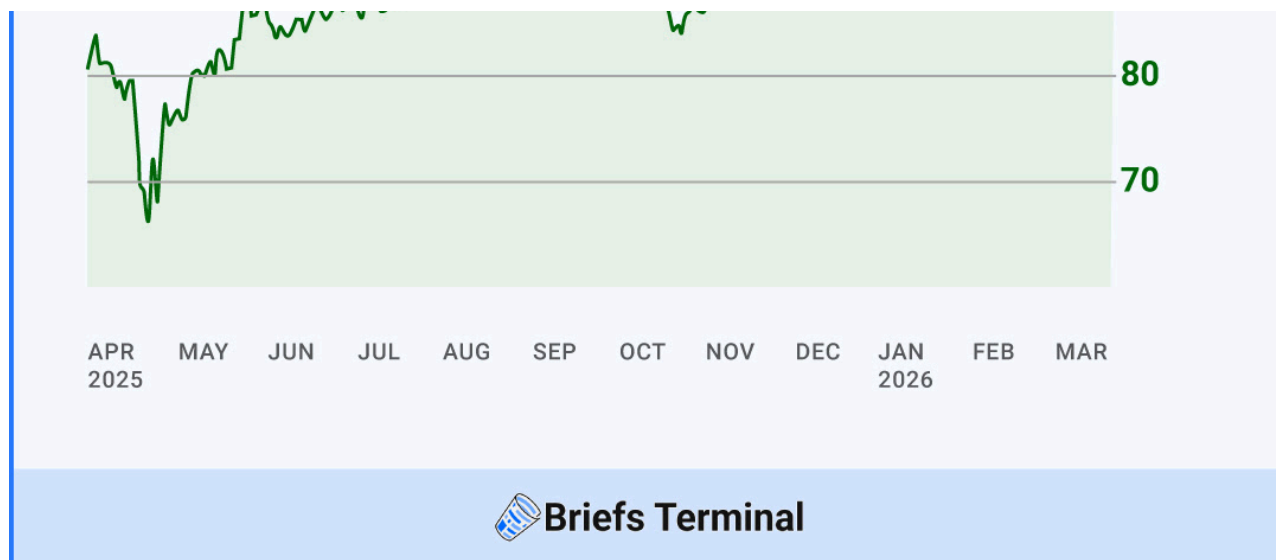
Data [via](#) Danaos' Investor Presentation

Think of GSL and DAC as two sides of the same trade.

GSL is the income play - a large dividend, a very clean balance sheet, and near-total revenue visibility for the next two years.

DAC is the growth play - a lower dividend but a bigger fleet expansion pipeline and the largest contracted revenue backlog of any comparable company in the sector.





Data [via](#) Briefs Terminal

Two different approaches to the same shift in global commerce - and two opportunities investors may want to consider.

BREAKDOWN

Why The Discount Exists

Now the elephant in the room.

If both companies are generating strong, contracted profits at low debt levels - why is the market largely ignoring them?

Shipping has historically been a brutal boom-and-bust industry.

Demand for shipping rises, ships are built, but by the time they are ready, demand is back to normal.

This time could be different though - these companies already have ships ready to use.

- Demand for shipping, at least over the next few years, is expected to increase.

But even if it doesn't - the world is still changing its mind about how global shipping should look.

Mid-size ships are the future - Danaos and GSL fit this shift perfectly.

They also just don't get that much press because of the work they do and where they are

They also just don't get that much press because of the work they do and where they are headquartered.

Both companies are incorporated in the Marshall Islands and run by Greek management teams.

That limits coverage from major U.S. and European investment banks.

- Less analyst attention often = less institutional buying.

Plus, everything they do is behind the scenes.

Consumers don't care how they get a package, they just want it delivered. But businesses care, which is why we're seeing this shift pay out in real time.

The combined effect: Two businesses generating nearly \$6 billion in contracted revenues between them, with minimal debt and growing dividends, are trading as if the good times could end tomorrow.

RISKS

How This Shift Could Change

With that said, there are still risks in this shift investors should be aware of.

The biggest concern is what happens when current contracts expire. A chunk of both GSL's and DAC's charters come up for renewal in 2027 and 2028.

If shipping rates drop by then, those renewals could get signed at lower rates.

- That would reduce revenue for both DAC and GSL.

On the supply side, 2025 set a record for new containership orders.

The good news is that most of those orders are for the ultra-large vessels that serve major long-haul routes - not the mid-size segment where GSL and DAC operate.

That means there's still room for these companies to grow, but no guarantee that they will.

Next, geopolitical uncertainty is always a factor.

Right now, tariff pressure and supply chain shifts are driving demand for regional shipping.

But trade policy can reverse quickly.

A major diplomatic reset between the U.S. and China, or an unexpected resolution to Panama Canal congestion, could partially reduce the advantages these companies currently hold.

- And even though global shipping is getting more regional, local issues can still cause problems.

Lastly, these ships will become outdated.

- GSL's ships average around 18 years old.

New international environmental rules are making it harder for older ships to operate.

GSL is actively buying newer more efficient ships and selling older ones, but that renewal program comes at a cost.

It can renovate ships as well, but that means taking them out of the water for months or years, eliminating a revenue stream.

In the end, investors will want to keep these risks in mind before investing, deciding if these opportunities are undervalued due to a gap in the market, or risks that just haven't played out yet.

REVIEW

Sailing Into The Future

Global trade is in the middle of a generational transformation.

The old model of sending everything from one giant factory to one giant port on one enormous ship is changing.

Now, companies are considering regional routes for more flexibility.

With that said, medium-sized cargo ships are leading the way.

And the companies that own the most of them, with the longest-term contracts, the cleanest balance sheets, and the most locked-in revenue, are Global Ship Lease and Danaos Corporation.

- Both may currently trade at valuations that reflect the shipping industry's difficult past, not its contracted present with locked in revenue.

That creates two potentially undervalued opportunities in the global shipping space that investors may want to keep in mind for the long-term.



- Market Briefs Pro Team

*The Market Briefs Pro team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

But keep in mind: We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.